

IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF NEW YORK

MARGARET SMITH, individually and on)
behalf of all others similarly situated,)
) Case No. 23-CV-04521
Plaintiff,)
) MEMORANDUM OPINION AND ORDER
v.) ON MOTION FOR SUMMARY JUDGMENT
)
APEX FINANCIAL SERVICES, INC.,)
ROBERT JONES, individually, and)
MERIDIAN BANK, N.A.,)
)
Defendants.)

JUDGE PATRICIA WASHINGTON

MEMORANDUM OPINION AND ORDER

I. INTRODUCTION

Plaintiff Margaret Smith brings this putative class action against Defendants Apex Financial Services, Inc. ("Apex"), Robert Jones ("Jones")

II. BACKGROUND

A. Factual Background

Apex is a registered investment adviser that managed individual retirement accounts ("IRAs") for thousands of clients, including Plaintiff. J
Between January 2020 and December 2021 (the "Class Period"), Plaintiff and the proposed class members entrusted Apex with approxin
Contrary to these representations, Apex, under Jones's direction, invested substantial portions of client funds in highly speculative derivat
When the market experienced significant volatility in early 2022, Apex's clients suffered aggregate losses exceeding \$800 million. Many c

B. Procedural History

Plaintiff filed the initial complaint on March 15, 2023. After briefing on a motion to dismiss, this Court dismissed certain state law claims bu

III. LEGAL STANDARD

Summary judgment is appropriate where "there is no genuine dispute as to any material fact and the movant is entitled to judgment as a m
The Court must view all evidence in the light most favorable to the nonmoving party and draw all reasonable inferences in that party's favo

IV. DISCUSSION

A. Section 10(b) and Rule 10b-5 Claims Against Apex and Jones

To establish a claim under Section 10(b) of the Securities Exchange Act and Rule 10b-5, a plaintiff must prove: (1) a material misrepresent

1. Material Misrepresentation

Defendants argue that Apex's marketing materials constituted mere "puffery" insufficient to support a securities fraud claim. The Court dis
The record contains substantial evidence that these representations were false when made. Internal communications produced in discove

2. Scienter

To establish scienter, Plaintiff must allege facts giving rise to a "strong inference" that Defendants acted with "intent to deceive, manipul

Jones's internal emails, in which he explicitly acknowledged the mismatch between Apex's marketing materials and its actual investment

3. Reliance

Plaintiff invokes the "fraud-on-the-market" presumption established in *Basic Inc. v. Levinson*, 485 U.S. 224 (1988), which provides that inv

Nevertheless, Plaintiff has presented sufficient direct evidence of reliance. Plaintiff's deposition testimony establishes that she reviewed A

B. Investment Advisers Act Claims

The Investment Advisers Act of 1940 imposes a fiduciary duty on registered investment advisers to act in the best interests of their clients

C. Claims Against Meridian Bank

Plaintiff asserts claims against Meridian Bank for aiding and abetting the alleged fraud. To establish aiding and abetting liability under the

Plaintiff's evidence regarding Meridian Bank's knowledge is insufficient to create a genuine issue of material fact. The mere fact that Merid

V. CONCLUSION

For the foregoing reasons, Defendants' Motion for Summary Judgment is GRANTED as to all claims against Meridian Bank and DENIED

SO ORDERED.

Dated: June 10, 2025

New York, New York

/s/ Patricia Washington
HON. PATRICIA WASHINGTON
United States District Judge